

2026 - 2027 EDITION

NYC BROWNSTONE OWNER WORKBOOK

HOW BUYING AND ACTIVELY MANAGING A BROWNSTONE MAY HELP CREATE SIX-FIGURE TAX DEDUCTIONS.

REAL ESTATE PROFESSIONAL STATUS WORKBOOK

Track brownstone-owner hours, understand the 750+ hour and >50% tests, and see how a spouse-led joint-return strategy may help offset W-2 income.

INSIDE THE WORKBOOK

- What the tax rules actually require
- How another profession affects the 50% test
- How a spouse may qualify on a joint return
- Brownstone tasks that can support participation
- Weekly, monthly and annual time benchmarks
- A sample completed activity log



DOCUMENT THE WORK YOU ACTUALLY DO.

Designed for owners who actively operate and manage their NYC investment property and want cleaner year-round records.

SCHEDULE A COMPLIMENTARY CONSULTATION

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Montfort Real Estate

WHAT'S REQUIRED

Real estate professional status is a two-part annual test.

You can qualify even if you have another profession, but you must still satisfy both tests below. There is no minimum number of properties. Qualification depends on the actual work you perform and document.

01

MORE THAN 750 HOURS

You must perform more than 750 hours of services during the tax year in real property trades or businesses in which you materially participate. Qualifying real property businesses can include rental, operation, management, leasing, brokerage, construction, development, acquisition and conversion.

02

MORE THAN HALF OF YOUR WORK TIME

More than half of the personal services you perform in all trades or businesses during the year must be in qualifying real property trades or businesses in which you materially participate. If you have another profession, this 50% test can be the harder hurdle. Real-estate services performed as an employee generally do not count unless you own more than 5% of the employer.

03

NO MINIMUM NUMBER OF PROPERTIES

There is no stated minimum number of properties. One property could be enough if the facts support the hours. In practice, more self-managed units, more turnovers, more repairs, and more hands-on operations can make it easier for legitimate hours to accumulate. Qualification is based on work performed, not property count.

A SPOUSE-LED STRATEGY CAN BE AN OPTION

On a joint return, one spouse may individually satisfy the >750-hour and >50% tests even if the other spouse works a W-2 or non-real-estate job. If the rentals also satisfy material participation rules, that structure can potentially help make rental losses nonpassive and available to offset joint income. Do not combine spouses' hours to pass the two REP qualification tests.

STRONG PARTICIPATION HOURS

Think day-to-day operations, not passive ownership.

IRS rules generally treat work you actually perform in an activity you own as participation, subject to important exclusions. The strongest hours are specific, operational and tied to the rental property.

TENANT + LEASING OPERATIONS

Responding to repair requests; communicating with tenants; lease renewals; notices; showings; applicant screening; move-in/move-out inspections; documenting condition; coordinating keys and access.

REPAIRS + MAINTENANCE

Owner-performed cleaning, painting, patching, hardware replacement, minor repairs, leak response, filter changes, drain clearing, roof/gutter work, snow removal and other hands-on upkeep.

PROPERTY MANAGEMENT

Scheduling contractors; meeting vendors; obtaining bids; supervising work; granting access; checking completion; resolving service failures; coordinating utilities; maintaining supplies and building systems.

COMPLIANCE + SAFETY

HPD registration where required; applicable lead notices/inspections; smoke/CO device checks; waste/recycling setup; heat-season response; required inspections; violation follow-up; record organization tied to operations.

COMMON AREAS + EXTERIOR

Hall and stair cleaning; lighting; door/lock checks; security-system checks; sidewalk and gutter cleaning; tree-pit/litter pickup; rear-yard upkeep; trash, recycling and compost handling.

TURNOVER + RENOVATION

Scoping work; measuring; planning finishes; obtaining and comparing bids; buying materials; supervising vendors; owner-performed painting/repairs; punch lists; preparing a unit for marketing and occupancy.

USE CAUTION WITH THESE HOURS

Pure investor activity can be excluded — for example, merely reviewing financial statements, preparing financial analyses for your own use, or monitoring the investment in a nonmanagerial capacity. Work performed by a contractor, superintendent, cleaner or property manager is their time, not yours. Owner work that is not customarily done and is performed mainly to manufacture participation can also be disregarded.

A WEEKLY OPERATING RHYTHM

For an active self-manager, routine property work can add up quickly — but only actual time counts.

Times below are reasonable planning ranges for a small NYC brownstone. Your address, number of units, tenant mix, collection schedule and building condition will change the workload.

Recurring task	Typical cadence	Time per occurrence	Illustrative annual hours
Trash / recycling / compost: sort, set out, return bins, clean bin area	2-4 touchpoints / week	20-40 min	60-120
Sidewalk, gutter (18 in. from curb), tree pit and litter cleanup	2-4x / week	15-30 min	30-100
Hallway / stair / vestibule cleaning and light common-area upkeep	1x / week	45-90 min	39-78
Building walkthrough: leaks, lights, locks, doors, cellar, roof signs, security	1x / week	30-60 min	26-52
Tenant communications and service-request handling	Ongoing / weekly	1-3 hr / week	52-156
Vendor scheduling, access, supervision and follow-up	Ongoing / weekly	0.5-2.5 hr / week	26-130
Owner-performed minor repairs / touchups	As needed	0.5-3 hr / week avg.	25-150
TOTAL PLANNING RANGE FOR THIS PAGE	-	-	258-786

NYC-SPECIFIC OPERATING NOTE

As of June 1, 2026, properties with 1-9 residential units are required to use official NYC Bins for trash setout, with full enforcement beginning September 8, 2026. NYC owners are also responsible for keeping adjoining sidewalks and gutter areas clean. These are real operating tasks when the owner personally performs them.

THE WORK THAT DOES NOT HAPPEN EVERY WEEK

Brownstone ownership has a second layer of seasonal, systems and compliance work.

Use the “where applicable” items only when they actually apply to the property and you personally perform the work or management activity.

Task	Frequency	Typical owner time	Annual planning range
Rent operations: posting/confirming payments, late follow-up, tenant account questions	Monthly	1-3 hr	12-36
Utility / service accounts: water, electric, gas, telecom, alarm, service calls	Monthly / as needed	0.5-2 hr	6-24
Security, intercom, cameras, exterior lighting and access-control checks	Monthly	15-45 min	3-9
Pest, moisture, cellar and water-intrusion monitoring	Monthly	15-60 min	3-12
Roof, gutters, leaders, scuppers, yard drains and rear-area cleanup	Quarterly / storms	1-3 hr	4-18
Boiler / HVAC / heat-season monitoring and service coordination	Seasonal	8-30 hr / yr	8-30
Snow / ice preparation, shoveling, salting, hydrant / curb-cut access	Storm-driven	1-4 hr / event	0-40+
Smoke / CO devices, extinguishers, emergency lights, basic safety review	Quarterly / annual	1-4 hr / yr	1-8
HPD registration, annual notices, lead / window / other owner compliance where applicable	Annual / seasonal	4-20 hr / yr	4-20
Violation / complaint follow-up; appointments; access; records; cure coordination	As needed	2-20+ hr	0-40+
TOTAL PLANNING RANGE FOR THIS PAGE			41-237+

SNOW IS NOT OPTIONAL WHEN IT HAPPENS

NYC requires owners/occupants to clear at least a four-foot path after snowfall within set timeframes that depend on when the snow stops. If you personally shovel, salt and clear access, record the actual start/end time and the property address.

ONE VACANCY CAN CREATE 60-150+ HOURS OF REAL WORK

Turnover is where self-managing owners often accumulate substantial legitimate operating time.

Do not use the estimates as “automatic” hours. Record the actual time you spend on each step and keep supporting evidence.

Turnover / project task	Typical owner time
Pre-move-out inspection, photos, damage notes and scope of work	2-6 hr
Obtain bids, compare scopes, choose vendors and schedule access	4-12 hr
Buy / pick up materials, fixtures, paint and supplies	3-10 hr
Owner-performed patching, painting and touchups	12-40+ hr
Owner-performed cleaning / deep-clean preparation	6-15 hr
Repair coordination, vendor access, site supervision and punch list	8-25+ hr
Listing preparation, photos, copy, rent analysis tied to leasing decision	3-8 hr
Inquiry response, scheduling and conducting showings	8-30+ hr
Application review, references, screening and lease coordination	4-12 hr
Move-out / move-in inspection, keys, access setup, condition documentation	3-8 hr
Security / intercom / lock changes and post-turnover follow-up	2-6 hr
TOTAL PLANNING RANGE FOR THIS PAGE	55-172+ hr

CAPITAL PROJECTS CAN CREATE ADDITIONAL OWNER-MANAGEMENT TIME

For a kitchen, bath, roof, facade, rear wall, heating or electrical project, owner time may include scopes, contractor interviews, architect/expeditor meetings, permit coordination, material decisions, site visits, progress checks and punch-list work. The contractor's labor does not become your participation time.

WHAT AN 800-HOUR ACTIVE YEAR CAN LOOK LIKE

This is an example — not a safe harbor and not a substitute for actual records.

A single stable brownstone may not generate this much owner work every year. A self-managed building with recurring operations, one turnover and a modest improvement project can be much more time-intensive.

Activity	Assumption	Hours
Trash / recycling / compost handling	2.0 hr / week x 52	104
Sidewalk / gutter / tree-pit cleaning	1.25 hr / week x 52	65
Hall / stair / common-area cleaning	1.25 hr / week x 52	65
Property walkthrough / safety / security checks	0.75 hr / week x 52	39
Tenant communications / service requests	2.0 hr / week x 52	104
Vendor coordination / access / follow-up	1.5 hr / week x 52	78
Rent operations / late follow-up	2 hr / month	24
Utilities / service-account calls	1.5 hr / month	18
Owner-performed minor repairs	3 hr / month average	36
Building supplies / parts procurement	1.5 hr / month	18
Security-device checks	0.5 hr / month	6
Pest / moisture monitoring	0.5 hr / month	6
Roof / gutter / drain seasonal work	Actual seasonal work	16
Heating-season / boiler management	Actual seasonal work	20
Snow / ice removal	Actual storm work	20
HPD / notices / safety / compliance administration	Where applicable	18
Insurance / service renewals tied to operations	Actual management work	8
Exterior / sidewalk annual condition review	Actual inspection + follow-up	10
One unit turnover + leasing	Actual owner time	105
One modest improvement project	Actual owner management / work	40
TOTAL ILLUSTRATIVE YEAR		800

WHY THE EXAMPLE TARGETS 800 INSTEAD OF 750

The statutory test is more than 750 hours. Also, some claimed time can be disputed or excluded. The right approach is not to “pad” the log; it is to record all legitimate activity accurately so the final total reflects what really happened.

THE BEST LOG IS SPECIFIC AND CREATED AS THE WORK HAPPENS

IRS regulations allow participation to be established by reasonable means, but clean contemporaneous records are easier to defend.

A vague year-end statement such as “managed property — 5 hours” is far less useful than a dated record identifying the address, task, time spent and supporting evidence.

DATE + PROPERTY

- 1 Every entry should identify the exact date and building or rental activity.

START / END + ACTUAL HOURS

- 2 Use actual time. Avoid automatic blocks, rounded “standard” time or hours copied from this guide.

SPECIFIC TASK

- 3 Example: “Met plumber at 9:05 AM; reviewed rear-stack leak; approved scope; documented completion.”

OUTCOME

- 4 What was decided, repaired, scheduled, inspected, cleaned, rented or resolved?

EVIDENCE

- 5 Calendar event, text/email, tenant message, photo, receipt, invoice, call log, lease, vendor proposal, HPD/DOB record, etc.

ALSO TRACK THE 50% TEST

Keep a separate annual total of all personal-service hours in your trades or businesses, not just real estate. Your tax adviser needs both numbers to test whether more than half of your business-service time was in qualifying real property trades or businesses.

SEE WHAT A CLEAN ENTRY LOOKS LIKE

A sample activity log page

Use clear descriptions, actual start/end times, and at least one supporting reference for each time block when possible.

OWNER:Sample Owner

PROPERTY:123 West 122nd Street, New York, NY

MONTH / YEAR:September 2026

RENTAL ACTIVITY / ENTITY:122 W 122 LLC

Date	Start-End	Hours	Category	Specific work performed	Evidence / reference
09/02/26	7:10-7:45 AM	0.6	CLEAN	Set out trash/recycling; returned bins later; cleaned bin area.	Photo + calendar
09/03/26	8:05-8:50 AM	0.8	CLEAN	Swept stoop, sidewalk, gutter and tree pit; bagged litter.	Photo
09/04/26	10:00-11:10 AM	1.2	MGMT	Met plumber re 3rd-floor kitchen leak; reviewed scope; approved repair.	Text thread + invoice
09/04/26	11:15-11:40 AM	0.4	COMP	Called tenant; documented access notes and repair follow-up.	Call log + note
09/07/26	9:00-10:20 AM	1.3	MNT	Patched hallway wall, replaced light bulbs, tightened front-door closer.	Receipt + photo
09/09/26	3:00-4:15 PM	1.3	LEASE	Photographed vacant unit; drafted listing copy; updated showing notes.	Listing draft
09/10/26	5:30-6:20 PM	0.8	LEASE	Conducted showing for prospective tenant and answered application questions.	Calendar + text
09/12/26	8:30-9:10 AM	0.7	MGMT	Monthly building walkthrough: leaks, cellar moisture, roof hatch, locks.	Checklist + photo
09/15/26	12:00-1:05 PM	1.1	MGMT	Called ConEd + telecom to resolve service issue for garden unit.	Call log
09/16/26	2:15-3:30 PM	1.3	MNT	Cleared rear-yard drain and cleaned gutter section after storm.	Photo
09/18/26	1:00-2:10 PM	1.2	LEASE	Reviewed application, references and lease terms; coordinated move-in date.	Application + email
09/20/26	4:00-4:35 PM	0.6	COMP	Uploaded annual compliance notice records and updated file folder.	PDF + file note

Suggested categories: MGMT = management | MNT = maintenance | LEASE = leasing/turnover | COMP = compliance | CLEAN = cleaning/exterior | PROJECT = improvement project

WHY THIS SAMPLE WORKS

Each entry ties time to a specific property task and a supporting reference. The goal is simple: preserve the work that actually happened while the details are still fresh.

REAL ESTATE PROFESSIONAL STATUS IS ONLY STEP ONE

Material participation is a separate analysis.

For rental real estate, each rental is generally a separate activity unless a proper election applies. Review this with your CPA or tax attorney before filing.

Common material-participation test	What it generally requires
500-hour test	You participate in the activity for more than 500 hours during the tax year.
Substantially-all test	Your participation constitutes substantially all participation in the activity by all individuals.
100-hour / no-one-more test	You participate more than 100 hours and at least as much as any other individual.

SPOUSE RULE

For the two real-estate-professional qualification tests, you generally cannot combine spouses' personal-service hours to get over 750 or over 50%. One spouse, however, may independently qualify even when the other spouse works full-time outside real estate. For material participation in an activity, a spouse's participation can generally be counted. Joint-return facts should be reviewed carefully.

PRIMARY SOURCES + NYC OWNER REFERENCES

- IRS Publication 925 - Passive Activity and At-Risk Rules
- IRS Form 8582 Instructions - material participation / proof of participation
- 26 CFR §1.469-5T - material participation, investor exclusions and methods of proof
- NYC DSNY - residential waste / bin / recycling / compost rules
- NYC DSNY - sidewalk + gutter cleaning; snow and ice rules
- NYC HPD - owner resources and annual compliance where applicable
- NYC DOB - Local Law 152 gas-piping inspections where applicable

Educational use only. This workbook is not tax, legal or accounting advice and does not guarantee real estate professional status or a six-figure deduction result. Tax results depend on the owner's actual facts, hours, other work, entity structure, elections and material participation. Have a qualified tax professional review your records before filing.



OWNING OR BUYING A NYC BROWNSTONE?

Schedule a complimentary consultation to discuss the property and your ownership strategy.

SCHEDULE A CONSULTATION